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1100 NEW YORK AVENUE, NW
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September 24, 2025

Vanessa Countryman
Secretary
Securities and Exchange Commission
rule-comments@sec.gov

Re: File Number 4-862 (SEC Roundtable on Trade-Through Prohibitions)

Dear Secretary:

Nasdaq appreciates the opportunity to comment in connection with the September 18, 2025 roundtable to discuss the Rule 611¹ trade-through prohibition applicable to National Market System (“NMS”) stocks (the “Trade-Through Rule”)² and the analogous NMS plan trade-through prohibition applicable to listed options (the Options Order Protection and Locked/Cross Market Plan (the “Options Trade-Through Plan”)).³

Twenty years after the Securities and Exchange Commission (the “SEC” or the “Commission”) adopted Rule 611 as part of Regulation NMS (“Reg NMS”), Nasdaq supports a thoughtful consideration of whether and how to repeal Rule 611. Nasdaq notes that it opposed the Trade-Through Rule at the time the Commission first proposed it. We argued that it was inconsistent with the SEC’s statutory obligation to ensure “fair and orderly markets.” We also warned that the Rule would impose substantial compliance costs and it would deny investors the freedom to direct their orders to the destination of their choice.⁴ Even though ultimately, the trade-through prohibition has had some positive effects for the equities markets,⁵ we stand by our critiques of it. We also recognize that it has led to unintended consequences beyond those we and others warned about in 2004.⁶ For example, we agree with the critique that Rule 611 has “led

¹ 17 CFR 242.611.

² Rule 611 is also often referred to as the Order Protection Rule.

³ See Options Order Protection and Locked/Crossed Market Plan, available at https://www.theocc.com/getmedia/7fc629d9-4e54-4b99-9f11-c0e4db1a2266/options_order_protection_plan.pdf.

⁴ See, e.g., Letter from Edward S. Knight, General Counsel, Nasdaq, to Secretary, Commission (Sept. 29, 2004), available at: <https://www.sec.gov/files/rules/proposed/s71004/nasdaqsm092904.pdf>.

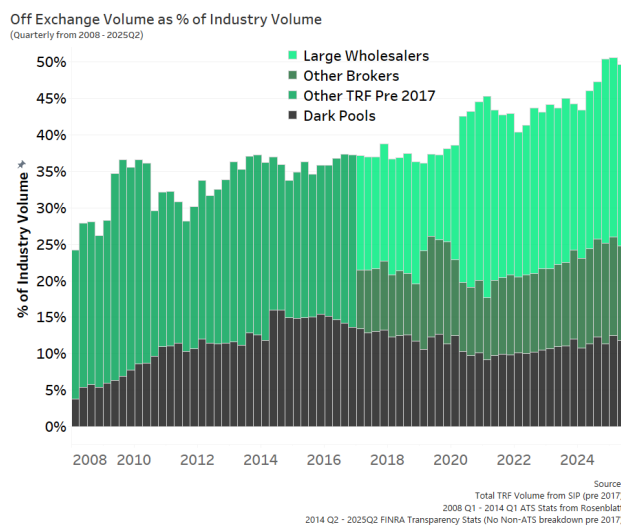
⁵ See Memorandum on Rule 611 of Regulation NMS from the Division of Trading and Markets to the Equity Market Structure Advisory Committee (“2015 Memorandum”), at 14-15 (Apr. 30, 2015), available at: <https://www.sec.gov/spotlight/emsac/memo-rule-611-regulation-nms.pdf> (noting a 95% decline in trade-through rates between 2003 and 2014 on Nasdaq and NYSE stocks).

⁶ See *id.* at 15-21.

to more dark trading by constraining the nature of competition on lit venues to factors such as speed, fees, and exotic order types, in contrast to factors that are more appealing to investors, such as liquidity and stability.”⁷

We encourage the Commission to be cautious as to how it rescinds the Trade-Through Rule. Rescission of Rule 611 will necessitate changes to other rules in the National Market System. Rule 611 is—two decades after its adoption—deeply embedded into all aspects of the equities markets. The infrastructure supporting the U.S. equity markets has performed exceptionally well, even during recent periods of high volatility. Investors and issuers worldwide look to the U.S. to raise capital and invest. Proposals for intervening in the complex and interrelated regulatory framework within which these markets operate should thus be undertaken with careful thought and deliberation. The elimination of Rule 611 at this point would be a significant regulatory intervention, because market participants have spent decades and significant time, money, and resources investing in, optimizing for, and organizing around Rule 611. Its elimination would not be a simple deregulatory act that would restore the markets to where they were before Reg NMS was adopted. Instead, it would mark the creation of a new market structure that would be no less significant and impactful than the market structure which resulted from the adoption of Rule 611. This is why it is important to carefully consider changes to Rule 611 and address the potential for unintended collateral effects.

One unintended consequence of eliminating Rule 611 would be exacerbation of the troubling years-long trend of equities activity flowing from lit to dark markets. Given that displayed quotes on lit markets are responsible for creating the National Best Bid and Offer (“NBBO”)—the market-wide price that investors rely upon to make informed trading decisions, and which dark markets use a reference—a further erosion of lit markets could undermine the integrity of the equity markets and harm investors if left unaddressed.



If the Commission rescinds Rule 611, we recommend that it take concurrent steps to mitigate such risks to the markets and investors. As we discuss below, a first step would be to

⁷ See *id.* at 17.

address other aspects of Reg NMS that would be impacted by elimination of Rule 611, such as the access fee cap⁸ and the prohibition against locked and crossed markets⁹ in Rule 610. Second, we recommend that the Commission consider giving equities exchanges more freedom to compete on an even playing field with off-exchange market centers. Reg NMS currently hamstrings exchanges in their ability to compete with off-exchange markets in terms of tailored pricing and functionality. Third, we recommend that the Commission consider a phased approach to rescinding Rule 611. We suggest that it do so over time in tranches of symbols.

Finally, although the Commission raises the prospect of reforming or eliminating both the Trade-Through Rule for the equities markets and the Options Trade-Through Plan for the options markets, Nasdaq submits that any such action in the options markets would be unwarranted, unwise, or at the very least, premature. The options markets are thriving and competitive. Removing trade-through protections – which predate Reg NMS – would needlessly disrupt the flow of these markets. Options market structure does not present the same problems that the Commission seeks to solve by eliminating trade-through protections for equities. For example, options trading occurs in environments where all orders are exposed to competition. The options markets are more complex and feature many more products than the equities markets, and options market makers require greater protection than equity market makers to assume the risks of operating in that environment. We are also concerned that elimination of trade-through protection would harm options investors in the form of wider spreads and worse execution quality. Moreover, the Commission’s analysis of trade-through protection and potential impact on the options markets is far less developed in the options markets than it is in the equities markets, and significant further study of the potential impacts of reforming or eliminating the Options Trade-Through Plan would be required before further action. Nasdaq therefore recommends that currently, the Commission focus its efforts on addressing the Trade-Through Rule exclusively in the Equities markets.

I. Countervailing Measures to Offset the Impacts of Eliminating Rule 611

Any Commission action to eliminate the Trade-Through Rule should occur only after a careful evaluation of the impacts of such action, both direct and indirect, as well as the attendant benefits and costs. To that end, we suggest that the Commission consider the following when evaluating the merits of the Trade-Through Rule under Rule 611: (A) the interaction of Rule 611 and Rule 610; (B) the promotion of displayed liquidity and price discovery; (C) the interaction between the Trade-Through Rule and best execution; (D) implications of rescission for the ability of exchanges to innovate; and (E) the operations of the equity data plans. Below we discuss each of these considerations.

⁸ See Rule 610(c) of Regulation NMS, 17 CFR 242.610(c) (setting forth a uniform fee limitation for accessing protected quotations that are the best bid or best offer of an exchange).

⁹ See Rule 610(e) of Regulation NMS, 17 CFR 242.610(e) (requiring self-regulatory organizations to establish, maintain, and enforce written rules that, among other things, prohibit their members from engaging in a pattern or practice of displaying quotations that lock or cross the protected quotations of other trading centers).

A. The Interaction of Rule 611 with the Access Fee Cap and Data and Connectivity Fees

A reassessment of Rule 611 warrants a review of all Reg NMS rules that are tied in some way to Rule 611. While the stated scope of the upcoming roundtable is the trade-through prohibitions for equities and options, some rules are so closely intertwined with the Trade-Through Rule that reform or rescission of one requires concurrent consideration of the need to reform or rescind the other.

This is the case for the fee limitation of Rule 610 of Reg NMS, which establishes a cap on exchange access fees and a prohibition on locked and crossed markets. The fee limitation of Rule 610 exists because of Rule 611. From its inception, the Commission has recognized that “the fee limitation of Rule 610 is necessary to support the integrity of the price protection requirement established by the adopted Order Protection Rule.”¹⁰ If the Commission were to rescind the Trade-Through Rule under Rule 611, the fee limitation of Rule 610 would be without regulatory basis. Fee caps for U.S. equities under Rule 610 exist only because Rule 611 requires market participants to respect displayed quotes on all markets regardless of how big or small that market or the quote may be. Rescission of Rule 611 should thus precipitate elimination of the fee cap under Rule 610. Unbound by Rule 611, dynamic competitive market forces—and not static regulation—should determine the fairness and reasonableness of exchange fees.

Similarly, the Commission should consider changing its approach to exchange market data and connectivity fees if it eliminates the Trade-Through Rule. In the past, many have alleged that the Trade-Through Rule effectively compels broker-dealers to connect to and take data from exchanges, thereby enabling exchanges to charge broker-dealers supra-competitive rates for connectivity and data. Nasdaq disagrees that Rule 611 has these effects, as not all market participants connect to or consume data from all exchanges (especially smaller exchanges). We also disagree with the argument that the markets for connectivity and market data are non-competitive, and that exchanges can increase fees in these markets with impunity. Nevertheless, if the Commission eliminates the Trade-Through Rule, then such concerns, even if they were valid, will be relevant no longer. Thus, if the Commission eliminates the Trade-Through Rule, then it should relax its scrutiny of exchange market data and connectivity fees.

B. Promoting Displayed Liquidity and Price Discovery

If the Commission rescinds the Trade-Through Rule for equities, then market participants will need incentives to provide displayed quotes to the market to preserve the strength of the NBBO and its role in fostering price competition and price discovery.¹¹ Protected quotes

¹⁰ Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37503 (June 29, 2005) (“Reg NMS Adopting Release”). See also Securities Exchange Act Release No. 101070 (Sep. 18, 2024), 89 FR 81620, 81644 (“Rule 610(c) was designed to preclude trading centers that posted protected quotations from raising their fees in an attempt to take improper advantage of the trade-through protections adopted under Rule 611.”).

¹¹ The fragmentation that exists in equities markets creates an asymmetry that should be analyzed to ensure continued price competition. See P. Mackintosh, “3 Pie Charts that Show Fragmentation in the U.S. Market,” available at <https://www.nasdaq.com/articles/3-pie-charts-show-fragmentation-us-market>. See also P. Mackintosh, “Who’s Really Setting Prices?” available at <https://www.nasdaq.com/articles/whos-really-setting-prices>; P. Mackintosh, “What is Segmentation?,” available at <https://www.nasdaq.com/articles/what-is-segmentation-2021-11-04>.

generate competition to display interest at best prices. Eliminating that protection could disincentivize market makers from displaying aggressively priced quotes insofar as their risks in displaying the best available quotes would not necessarily be rewarded with executions.¹² Were this to happen, spreads would likely widen, leading to worse prices and higher effective trading costs for investors. In sum, removing the protections of the Trade-Through Rule – without doing anything to offset its impacts – could reduce displayed liquidity, harm price discovery, and erode the role of the NBBO as a key price competition driver and price discovery tool. With less than half of equities market trading activity already occurring in lit markets on many days – even with Rule 611 in place—any action that would further undermine the competitiveness of lit markets should concern the Commission.

Currently, exchanges are limited in the ways they can innovate to meet this challenge. The SEC’s rules preclude exchanges from serving specific segments of the market by tailoring products and services to meet their needs. The SEC should consider freeing exchanges to innovate and devise new structures and incentives to drive displayed liquidity. The Commission should consider adopting measures, or provide exchanges with greater flexibility, to promote competition for displayed liquidity and preserve the integrity of the NBBO. For example, if the Commission were to repeal the Trade-Through Rule, it should also repeal Rule 610. Doing so would give exchanges the flexibility they need to create enhanced incentive structures sufficient for them to retain and attract quoting activity. Doing so would also help narrow spreads and strengthen the NBBO, providing investors with better prices and lower trading costs.¹³

¹² Some argue that the erosion of dark markets, despite the presence of Rule 611, indicates that the Rule has not proven to be effective in rewarding the display of limit orders. See 2015 Memorandum, *supra*, at 20-21. However, even this critique acknowledges that Rule 611 provided “strong” incentives, as evidenced by a narrowing of quoted spreads. *Id.* at 21.

¹³ The Commission may also wish to consider other ways to enhance competition and price discovery, such as by enhancing post-trade transparency of off-exchange trades so that trade reports identify the venues where such trades occurred. Enhanced transparency would help broker-dealers and investors to compare market quality among exchanges and non-exchanges. Additionally, the Commission may wish to consider treating indications of interest as quotes.

To further enhance exchange competition, the SEC should also consider allowing primary listing exchanges to determine tick sizes for their listed companies. Exchanges, and particularly primary listing exchanges, know best the needs of their members and constituents, including broker dealers serving retail or institutions, listed corporate companies, and issuers of exchange traded products. Given the ongoing trend towards trading equities off-exchange and in the darkness, freeing exchanges to have more flexibility in functionality, pricing and tick size would allow them to have better control of the market quality their listed issuers experience. In the past, Nasdaq proposed that the SEC establish an intelligent tick regime, in lieu of a one-size-fits-all approach, because we believe that stocks each have their own optimal tick sizes based on their unique trading characteristics. See “Intelligent Ticks: A Blueprint for a Better Tomorrow” (December 16, 2019), available at <https://www.nasdaq.com/docs/2019/12/16/Intelligent-Ticks.pdf>. During the prior Administration, the Commission did adopt a more nuanced tick regime to address this issue. However, we remain concerned that even this new regime will not do enough to optimize trading for individual stocks. Nasdaq therefore proposes that the SEC allow primary listing exchanges to determine tick sizes for their listed companies. Competition will help reward the exchanges who do that best both from a listing and a trading perspective.

C. The Interaction of Rule 611 and the Duty of Best Execution

If Rule 611 is rescinded, then the Commission must take a closer look at the current best execution framework. The importance of Commission guidance on best execution in lieu of the Trade-Through Rule was recognized by Commissioners Atkins and Glassman in their dissent to Reg NMS (“Instead of relying on competitive forces to discipline market access and execution services, Regulation NMS establishes a regulatory back-up plan for outlier self-regulatory organizations (‘SROs’). We believe the better approach would have been to clarify best execution guidance, outlining the appropriate balancing of factors when routing orders.”).¹⁴

We encourage the SEC to consider whether a rescission of Rule 611 necessitates the SEC offering new best execution guidance to ensure that best execution operates as a backstop for investors when Rule 611 is gone. For example, what factors does the SEC think a broker-dealer should prioritize in a world without Rule 611 and when it should do so? Does best execution always require a broker-dealer to pursue the best price, or can other factors such as execution quality, speed, and depth of liquidity supersede price considerations in certain circumstances?¹⁵

D. Greater Ability to Compete through ATSS

If the Commission repeals Rule 611, then it will become more important than it is already for the Commission to free exchange operators to compete with non-traditional trading venues on a level playing field. Chairman Atkins has stated that the SEC “should not force market participants to be stretched to fit a Procrustean bed of regulation for regulation’s sake.”¹⁶ The Commission should allow exchange operators to own and operate alternative trading systems (“ATSS”) that trade NMS stocks so as to compete more effectively with other ATSS, without forcing on ATSS that happen to be owned and operated by exchange operators the full panoply of restrictions and obligations that are applicable to exchanges themselves.

¹⁴ Dissent of Commissioners Cynthia A. Glassman and Paul S. Atkins to the Adoption of Regulation NMS (June 9, 2005), available at <https://www.sec.gov/files/rules/final/34-51808-dissent.pdf>.

¹⁵ Additionally, how does the SEC think that best execution should operate if, as some advocate, the SEC permits digital asset markets to trade tokenized securities in a siloed manner, disconnected from the National Market System?

¹⁶ Paul S. Atkins, “American Leadership in the Digital Finance Revolution” (July 31, 2025), available at <https://www.sec.gov/newsroom/speeches-statements/atkins-digital-finance-revolution-073125>.

E. Equity Data Plan Operations

Recission of Rule 611 would also provide an opportunity for modifying¹⁷ the current Equity Data Plans¹⁸ revenue allocation formula required under Reg NMS.¹⁹ Reg NMS has not achieved its objective to provide a formula for allocating SIP revenues based in part on SRO contributions of “useful quotations to the consolidated data stream.”²⁰ The current formula incentivizes quotes that do not lead to trades, leading to the formation of venues that rely on SIP quoting revenues—rather than competitive forces—for revenue. In our view, the formula should be revised to more proportionally allocate market data revenues to venues that contribute meaningfully to price discovery through quality, immediately accessible quotations and transparent trade executions for the benefit of all market participants.²¹

II. A Methodical Approach to Rescinding the Trade-Through Rule

Although the Commission may have good cause to rescind the Trade-Through Rule, it should do so methodically and with care. The Trade-Through Rule is knit tightly into the delicate and complex fabric of the U.S. capital markets. If the Commission pulls too quickly or too hard on the thread of the Trade-Through Rule, it risks tearing apart that which is interwoven with it. To mitigate this risk, the Commission would be well-served to consider phasing out Rule 611 over time and perhaps studying the effects of each phase before proceeding further.

This would entail rescinding order protection in successive tranches of symbols, pausing to examine the impacts before proceeding to the next tranche.

III. The Options Order Protection and Locked/Crossed Market Plan

In addition to assessing the impacts of the Trade-Through Rule on equities markets, the Commission has also expressed interest in assessing the impact of the Options Trade-Through Plan on options markets. However, Nasdaq is concerned that removing trade-through protections in the options market would needlessly disrupt the fabric of a market that is healthy, thriving,

¹⁷ The SEC has broad authority under Section 11A of the Act “by rule or order, to authorize or require self-regulatory organizations to act jointly with respect to matters as to which they share authority under this chapter in planning, developing, operating, or regulating a national market system” See U.S.C. 11A 78k-1(a)(3)(B). Rule 608 of Regulation NMS provides that the SEC may propose and adopt amendments to any national market system plan if it finds, after providing notice and opportunity for comment, that the amendment is necessary or appropriate in the public interest, for the protection of investors, the maintenance of fair and orderly markets, to remove impediments to, and perfect the mechanisms of, a national market system, or otherwise in furtherance of the Act. See 17 CFR 244.608(a)(2).

¹⁸ The three Equity Data Plans that currently govern the collection, consolidation, processing, and dissemination of consolidated equity market data via the exclusive securities information processors (“SIPs”) are: (1) the Consolidated Tape Association Plan; (2) the Consolidated Quotation Plan; and (3) the Joint Self-Regulatory Organization Plan Governing the Collection, Consolidation, and Dissemination of Quotation and Transaction Information for Nasdaq-Listed Securities Traded on Exchanges on an Unlisted Trading Privileges Basis.

¹⁹ See Reg NMS Adopting Release, supra n.8, 70 FR at 37610 (directing amendments to the formulas used to allocate market data revenues to SROs under joint industry plans).

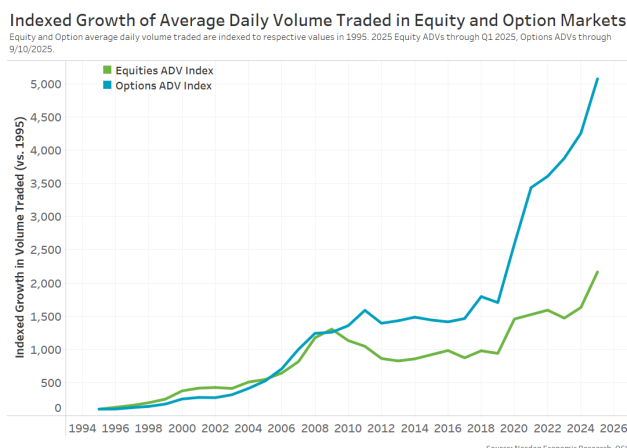
²⁰ See id. at 37610.

²¹ We note that the Operating Committee of the Revised New Consolidated Data Plan (“CT Plan”) is charged with “designing a fair and reasonable revenue allocation formula for allocating plan revenues.” See Securities Exchange Act Release No. 101672 (Nov. 20, 2024), 89 FR 94924, 94967 (Nov. 29, 2024).

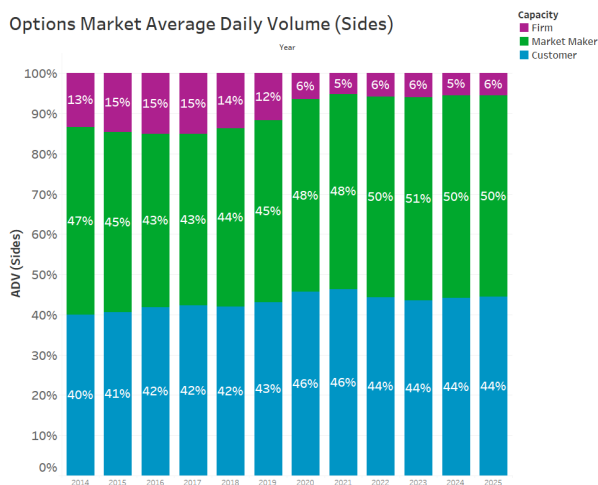
competitive, and structured in a manner that does not raise the same concerns as does Rule 611 in the equities markets. We also fear that removing trade-through protection in options markets may harm market makers in ways that would undermine market quality and raise costs for investors, including retail investors. As such, we do not believe that reform or elimination of the Options Trade-Through Plan is currently warranted. At the very least, the issue requires further study as it has not received the same attention historically as have the equities markets.

A. Removal of Trade-Through Protection Would Needlessly Upend Healthy Options Markets

U.S. options markets are striking in that they are highly-competitive, innovative, and growing rapidly. Even though the number of trading venues is increasing, there are far fewer options trading venues than there are equity trading venues. Moreover, even as more venues come to market, the volume of options traded continues to rise.



The options markets are also experiencing significant growth in retail participation.



All options trading is exposed, occurs in a uniform fashion, and involves order-by-order competition. Market participants also can purchase and sell options contracts across options trading venues seamlessly and clear these derivative products through a central counterparty.

While the equities markets are order-driven markets, the options markets are derivative, quote-driven markets that depend upon market makers to operate smoothly. Options market makers play an essential role in the listed options market because these market participants are responsible for the deep liquidity observed in options order books and auctions, including intra-day and open-outcry auctions. As the only participants permitted to quote, options market makers contribute liquidity in options markets through dynamic and accessible quotes as part of their obligations to submit quotations in their assigned options series for a certain percentage of the trading day.²²

Moreover, because there are far more series of listed or exchange-traded options than NMS stocks,²³ options market makers must supply liquidity and assume risk for a broader base of instruments in options as compared to equities.²⁴ Whereas the universe of listed stocks and ETFs is approximately 10,000, the number of listed options is approximately 1.5 million. Options markets are therefore significantly larger in terms of total contracts in existence and, in some cases, daily notional value. This requires market makers to assume more risk than their equities counterparts.

These risks include navigating market shifts by adjusting spreads dynamically, offsetting positions effectively, and monitoring inventory so that they may take the opposite side of a trade. Market makers must be capable of offsetting their risk through risk management and technological resources that can handle the breadth and scope of their quoting obligations. It is important to note that the type of liquidity provision demanded in options trading could not reasonably be achieved by other participants submitting orders given the enormity of listed instruments in options.

To encourage options market makers to take these risks, and to therefore create and sustain high-quality markets for investors, exchanges offer rewards to market makers. For example, options exchanges reward options market makers with enhanced allocations on executed options transactions on order books and in various auctions. Market makers also receive favorable pricing (lower fees and higher rebates) as compared to other non-customer market participants. Enhanced allocations and favorable pricing incent these market participants

²² All options exchanges have similar quoting obligations for market makers to continuously quote for a certain percentage, typically 60%, of the trading day. Lead or primary market makers have a heightened quoting obligation on all options exchanges. These market participants are typically required to quote 90% of the trading day.

²³ A single stock can have many different option contracts listed, each with a different expiration date and strike price.

²⁴ Listed options have standardized terms including strike prices, expiration dates, and the quantity of the underlying asset. Options allow investors to tailor their risk and potential reward by choosing specific strike prices and expiration dates.

to quote in their assigned options series, with the narrowest difference between their quoted bid and offer.²⁵

Aside from these incentives, trade-through protection encourages options market makers in assuming the risks associated with making markets in listed options. The Options Trade-Through Plan ensures that if options market makers take risks in quoting a good price, that quote will be honored. If the Options Trade-Through Plan were eliminated, the result would be to dampen options market making activity. Options market makers would likely widen quotes to reduce their risk, thereby offering market participants fewer quality fills and no potential price improvement.

Furthermore, we fear that elimination of trade-through protection would diminish the deep liquidity that market participants depend upon for options trading, thereby undermining the competitiveness of the markets. Consequently, the transparency that options markets have come to rely on would most likely dissipate in favor of various disconnected order books and exchanges operating mostly independent of each other.

In sum, Nasdaq believes that eliminating trade-through protection in the options markets would be a solution in search of a problem. Moreover, it would be a costly solution that would come at the expense of market makers, investors, and the transparent and competitive nature of options market trading.

B. Further Study is Required Before the Commission Acts to Reform or Remove Trade-Through Protection in the Options Markets.

If the Commission is intent on including the options markets in its review of trade-through protection, the Commission should at least acknowledge that this topic requires further study before action is warranted. Trade-through protection has neither received the same attention nor study in the options context than it has in the equities context.

At the time when the Commission adopted Reg NMS, multiply listed options markets were not a focus of the Commission's concerns. The Commission stated that it adopted Reg NMS as "a series of initiatives designed to modernize and strengthen the national market system for equity securities."²⁶ Indeed, the studies that underpinned Reg NMS were of the equities markets only.²⁷ The application of trade-through protection to options markets was not studied. The reason for this is likely the fact that the options markets already had trade-through protections in place at the time when the Commission first proposed Reg. NMS.

Action is not warranted in the absence of specific concerns and data which proves those specific concerns to be well-founded. Thus, at present, Nasdaq recommends the Commission focus its attention on the equities markets and leave the options markets to further study.

²⁵ Competitive quoting results in potential price improvement for investors, specifically retail customers, and these narrow bid-ask spreads contribute to liquid and efficient markets, yielding lower costs and attracting order flow with which other market participants seek to interact. Further, exchanges utilize market quality measures to assign lead or primary market maker status, creating additional incentives to narrow spreads in options.

IV. Conclusion

Nasdaq appreciates the Commission's consideration of this comment letter. We are available to the Commission and its staff at your convenience to discuss any questions you may have.

Sincerely,

A handwritten signature in blue ink, appearing to read "John A. Zecca". The signature is fluid and cursive, with the first name "John" being more prominent.

John A. Zecca